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# Franchises, Joint Ventures & Social Enterprises

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## Franchises

- Franchising involves a business **(franchisee)** buying the rights to operate an existing successful business model **(franchisor)**
  - This right includes the use of its **branding** and **software tools** as well as business support, in exchange for an initial lump sum plus ongoing **royalties**

*Some of the many food franchises available in the US*

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Got it

- Franchisors usually require the franchisee to operate as a private limited company

## Evaluating franchise ownership

| Advantages | Disadvantages |
|---|---|
| • A ready-made, **recognised brand name** which is promoted centrally by the franchisor<br>• The franchisor **provides training,** such as how to make pizzas properly, to ensure consistent quality<br>• Equipment and supplies are provided through the franchisor<br>• The franchisor guarantees an exclusive geographical area or market to the franchisee so **competition is limited**<br>• **Advice, training** and the **use of software systems**<br>• The franchisor may also provide loans, insurance and recruitment support | • The **cost of purchasing** a well-known franchise is likely to be high compared to starting a business from scratch<br>• Core decisions are made by the the franchisor, reducing the autonomy of **business owners**<br>• **Royalties linked to the level of sales** must be paid regularly, regardless of profit<br>• Required materials, supplies or equipment sold by the franchisor may be sold to the franchisee at **inflated prices**<br>• If the franchisee does not **follow strict franchise rules** or fails to meet quality expectations, their franchise rights can be removed |

Help me understand

- For the **franchisor**, allowing other businesses to buy franchises has a range of advantages and disadvantages

## Evaluating the sale of franchises

| Advantages | Disadvantages |
|---|---|
| • Rapid business growth can be achieved with less financial risk<br>• Earns income from franchise fees and royalties<br>• Expands a business's brand presence without directly managing each outlet | • The franchisor has less control over day-to-day operations of each franchise<br>• There is a risk of franchisees damaging the brand's reputation<br>• Time and resources are needed to support and monitor franchisees |

alternative to starting up a business from scratch

# Joint ventures

- A joint venture is a medium- to long-term agreement for **two or more separate businesses** to join together to **achieve a defined business outcome,** such as entry into a new market
  - A new **combined business structure** is formed
  - Risks and returns are **shared by the parties involved** in the joint venture
  - Businesses in a joint venture are usually looking to **benefit from each others' strengths and resources** brought to the venture
- Some **European companies have set up joint ventures with businesses in China**
  - Chinese managers and employees understand market needs and consumer tastes, which gives the venture a greater chance of success
  - The Chinese government encourages joint ventures rather than **foreign direct investment (FDI)**
  - German car manufacturer BMW and Chinese rival Brilliance Auto Group formed a joint venture called BMW Brilliance in 2003 to produce and sell BMW cars in China

## Evaluating joint ventures

| Advantages | Disadvantages |
|---|---|
| • Each partner in the joint venture benefits from **sharing expertise and resources,** such as distribution channels and R&D expertise<br>• Joint ventures are **less risky than 'going it alone'** if entering a new market or diversifying<br>• **Local knowledge** can be accessed when one of the joint venture partner companies is already based in the country<br>• **Costs are shared** between joint venture companies, which is very important for expensive projects | • If the joint venture is successful, profits have to be shared between the partner businesses<br>• **Disagreements may occur** between managers in both businesses<br>• The objectives of each business may change over time, leading to **conflict** between joint venture partners<br>• If the joint venture fails, it may need to be **dismantled, reorganised** or **sold,** which is likely to take significant time and resources |

- A **social enterprise** is a business that has the primary purpose of **creating social or environmental impacts,** in addition to generating profits
- **Cooperatives** are a common form of social enterprise
  - They are owned and controlled by **workers or customers** (often called members) who **share profits**, **contribute to key decisions** and have the **right to elect directors**

## Objectives of social enterprises

| Social | Environmental |
|---|---|
| • Provide jobs and support for disadvantaged groups in society, such as the disabled or homeless | • Protect the natural world, animals and their habitats, and reduce the impacts of pollution or overdevelopment |
| **Ethical** | **Financial** |
| • Operate the business in a responsible way by treating **stakeholders,** including employees and suppliers, fairly | • Make a profit to invest back into the social enterprise to expand the social work that it performs |

### Case Study

**Grameen Bank, Bangladesh**

- **Grameen Bank** was founded in 1976 with the mission of alleviating poverty in rural Bangladesh
- The bank gives loans without asking for any collateral, unlike normal banks
- Grameen Bank brings its services directly to the homes of its customers, where they feel comfortable and safe
- The bank has helped millions of people escape poverty by providing small 'microloans' to help them start or grow their businesses

## Evaluating social enterprises

| | |
|---|---|
| • Social enterprises often have a **good reputation,** which can attract highly-qualified employees and encourage **customer loyalty**<br>• Profit-focused **rivals may be encouraged to improve their business practices** to better compete with social enterprises<br>• Deserving causes receive much-needed **financial support** | • Social enterprises may face **media scrutiny** so must ensure they behave responsibly at all times<br>• **Profits (surpluses) available for reinvestment** are limited as they are shared with members or good causes<br>• **Decision-making is often slow**, as many stakeholders need to be consulted |

### Examiner Tips and Tricks

When discussing **social enterprises**, always stress that their aim is not just profit but also **social or environmental objectives**. Examiners often look for this distinction from traditional businesses

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